

Loss of FACE

Post the buyout fiasco, the corporate governance issue may come to haunt Ramalinga Raju who may have to see a rejig in the Satyam board

By Amarnath K. Menon

When Byyraju Ramalinga Raju ran the letters of his company Satyam backwards to create the seemingly innocuous Maytas a decade ago, little did he imagine that one day it would threaten to reverse his credibility itself. Indeed, his flip-flop last week as he tried and then aborted, in less than 12 hours, a move to buy out his group companies Maytas Infrastructure and Maytas Properties for \$1.6 billion to make it part of the flagship Satyam Computer Services has proved to be an embarrassment beyond repair. Even as the corporate world wonders about the fail-safe theory of independent boards, the question that dogs investors is what triggered the transformation in Dr Jekyll.

The saga symbolises the cliché that everything that can go wrong will go wrong. Consider the facts: the Raju family which owns barely 8.68 per cent of Satyam Computer Services—

India's fourth largest software company—put up a proposal for the acquisition of two companies Maytas Properties and Maytas Infrastructure. The theory was that in a cyclical downturn, diversification would bring income and stabilisation to the software outfit. Both companies are owned by the Raju family—his sons, Teja and Rama, are vice-chairmen. The price: \$1.6 billion. It is an enduring mystery as to how the valuation was arrived at and if any other similar businesses were considered for acquisition. The board, which consists of individuals like Krishna Palepu and former cabinet secretary T.R. Prasad, was chaired by independent director Mendu Rammohan Rao (dean of the Indian School of Business) and dealt with issues on unrelated diversification and valuation. It did not insist on shareholder consent as they were told it was not required by law.

In the corporate version of Believe

it or Not, the board passed the proposal. It was only when investors voted with their feet, selling the stock, and the ADR listed on NYSE lost 52 per cent that a panicky Raju did the U-turn. Interestingly, the proposal was reversed by e-mail and the man who chaired the meeting was the last to know. In that 12 hours, Satyam shareholders saw Rs 4,333 crore wiped out. Raju, who believed in "delighting the stakeholder", had triggered a revolt and even his offer of buyback and assurances have failed to restore market confidence. Indeed, the total market capitalisation of the company is down to Rs 10,930 crore (from Rs 15,263.11 crore before the fiasco). The scandal couldn't have been more untimely as the World Bank ban on Satyam came into force just this September. The group has been barred from doing business with the World Bank for eight years for data theft—the harshest sanction imposed on any company since 2004.

The dapper Raju has lost face with the move to make his sons richer at the cost of Satyam. The clue to the "why" is in the family's history. Given the family's land holdings, Raju viewed Satyam Construction Ltd, the earlier avatar of Maytas, as the cash cow before riding the stock market boom when brighter valuations raked in huge sums for Satyam Computers since the 1990s. However, with growing opportunities for the infrastructure player, both the Maytas firms acquired large land banks. Raju kept his sons away from Satyam and encouraged them to develop the Maytas entities, triggering speculation that Raju may sell out of Satyam. Some even named IBM as a possible buyer.

The Maytas outfits were planned and built to scale. Maytas Infra, a listed company run by Teja, had a turnover of Rs 1,660 crore and net profit of Rs 100 crore in the last financial year. Recessionary pressures were clearly taking a toll. In the second quarter of financial year 2008-09, the company registered a net profit of

“The thought was to further de-risk the business in the current economic downturn.”

B. RAMALINGA RAJU, *Chairman, Satyam Computer Services*